



“Quite like what has happened in the rest of the world, as the wealthy grow in India, there has been a change in how they invest”

credit [will] constitute a fair share [of it].

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How can a mutual fund (MF) or traditional investor gain exposure to alternatives or PMS? Why should one choose alternatives?

The first thing to remember is that there is no either/or as far as MFs and alternative investments go. Both of these need to find a place in the overall

allocation in an investor's portfolio. Alternatives are useful due to factors like diversification into uncorrelated asset classes, an ability to trade alpha generation for liquidity, and reduce volatility. Also, strategies like long-short and leverage are possible only through different AIF categories.

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How do think GIFT City will help aid the growth

of the PMS and AIF segments?

GIFT City is the first functional smart city, armed with India's first IFSC (International Financial Services Centre). GIFT City's unified regulator, International Financial Services Centres Authority (IFSCA), offers the integration of four regulatory powers—Irdai (Insurance Regulatory and Development Authority of India), RBI, Sebi and

PFRDA (Pension Fund Regulatory and Development Authority)—with respect to the regulation of financial institutions, financial services, and financial products.

GIFT City offers offshore funds and other entities operating within its premises 100% income tax exemption for 10 out of 15 years, along with Minimum Alternate Tax/Alternative Minimum Tax at 9% of book profits. The interest income paid to non-residents on money lent to IFSC units is not taxable, making it attractive to investors. It has also offered a clause of no GST on services received by units in IFSC, making it a superior choice for offshore location for global funds. The SEZ (special economic zone) also provides multiple relaxations for fund management entities and AIFs, being treated as a non-resident unit, [thereby] making it the new age hub for global enterprises.

Given the extremely hospitable environs of GIFT City, the SEZ has already become home to multiple funds backed by leading Indian BFSI entities. It is also the investment gateway of choice for large offshore institutional investors. So far, 70 funds have already been registered at GIFT City, with a cumulative capital commitment standing at \$15.7 billion. **BT**

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